

Amendment No. 1 to HB2382

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 2190*

House Bill No. 2382

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 47-30-101, is amended by deleting "Home Equity Conversion Mortgage Act" and substituting "Tennessee Reverse Mortgage Innovation Act".

SECTION 2. Tennessee Code Annotated, Section 47-30-102(1)(C), is amended by deleting "home equity conversion" and substituting "reverse mortgage".

SECTION 3. Tennessee Code Annotated, Section 47-30-102(7), is amended by deleting the subdivision.

SECTION 4. Tennessee Code Annotated, Section 47-30-102(8), is amended by deleting the subdivision and substituting:

(8) "Home equity conversion loan" means a reverse mortgage regulated by HUD;

SECTION 5. Tennessee Code Annotated, Section 47-30-102(11), is amended by deleting the subdivision and substituting:

(11) "Reverse mortgage" or "reverse mortgage loan" means a loan for a definite or indefinite term:

(A) Secured by a mortgage or deed of trust on the principal residence of the mortgagor;

(B) The proceeds of which are disbursed to the mortgagor in one (1) or more lump sums, or in equal or unequal installments, either directly by the lender or the lender's agent;

(C) That requires no repayment until a future time, upon the earliest occurrence of one (1) or more events specified in the reverse mortgage loan contract; and

(D) Is labeled clearly on the face of the note and deed of trust or mortgage, with the:

- (i) Name of the loan product;
- (ii) Name of the lender or insurer; and
- (iii) The statement, "This is a reverse mortgage pursuant to Tennessee Code Annotated, Title 47, Chapter 30";

SECTION 6. Tennessee Code Annotated, Section 47-30-102(12), is amended by deleting the subdivision.

SECTION 7. Tennessee Code Annotated, Section 47-30-104, is amended by deleting the section and substituting:

(a) A reverse mortgage loan contract must conform to the requirements of this chapter. A reverse mortgage loan, home equity conversion loan, mortgage, or deed of trust that fails to comply with this chapter is unenforceable as to all interest, service fees, and insurance premiums incurred on the loan.

(b) A reverse mortgage loan may, but need not, be insured or guaranteed by a state or federal agency. Reverse mortgage loans that are not FHA-insured are authorized under this chapter; provided, that they comply with all provisions of this part and applicable federal and state law.

(c) A reverse mortgage loan is a non-recourse loan, and the lender's recovery is limited to the proceeds from the sale or transfer of the secured property.

(d) Prior to closing a reverse mortgage loan, the lender shall receive certification that all borrowers and necessary loan participants have received independent counseling from a counselor.

SECTION 8. Tennessee Code Annotated, Section 47-30-107(b)(2), is amended by deleting ". These fees shall not exceed the monthly service fee or insurance premium permitted by HUD for participation in the Home Equity Conversion Mortgage Program or by Fannie Mae for a Fannie Mae Reverse Mortgage Loan".

SECTION 9. Tennessee Code Annotated, Section 47-30-107(b)(3), is amended by deleting ", which complies with Fannie Mae guidelines or HUD regulations".

SECTION 10. Tennessee Code Annotated, Section 47-30-107(b)(4), is amended by deleting ", if the transaction is a Fannie Mae Reverse Mortgage Loan of any principal amount notwithstanding § 47-24-102".

SECTION 11. Tennessee Code Annotated, Section 47-30-108(a), is amended by deleting ", other than a Fannie Mae Reverse Mortgage Loan,".

SECTION 12. Tennessee Code Annotated, Section 47-30-109(b), is amended by deleting "listed with HUD or Fannie Mae".

SECTION 13. Tennessee Code Annotated, Section 47-30-115(5), is amended by deleting ", except that this subdivision (5) shall not apply to any Fannie Mae Reverse Mortgage Loan".

SECTION 14. Tennessee Code Annotated, Section 47-30-115, is amended by adding the following as a new subdivision:

(8) Engaging in cross-selling by requiring or soliciting the purchase of an annuity, insurance policy, or other financial product as a condition of obtaining or authorizing a reverse mortgage loan.

SECTION 15. Tennessee Code Annotated, Section 47-30-117, is amended by designating the existing language as subsection (a), and adding the following as a new subsection:

(b) It is further the intent of the general assembly to modernize this chapter to align this state with the best practices nationwide by expanding the financial tools available to senior homeowners and homebuyers and to provide maximum flexibility

while maintaining strong consumer protections, thereby positioning this state as a national leader in retirement innovation and flexibility.

SECTION 16. Tennessee Code Annotated, Section 47-30-118, is amended by deleting the section.

SECTION 17. Tennessee Code Annotated, Section 39-15-509(d)(2)(K), is amended by deleting "home equity conversion mortgage" and substituting "reverse mortgage".

SECTION 18. Tennessee Code Annotated, Section 45-2-1202(5)(K), is amended by deleting "home equity conversion mortgage" and substituting "reverse mortgage".

SECTION 19. Tennessee Code Annotated, Section 45-20-102(9)(D)(iii), is amended by deleting the subdivision and substituting:

(iii) A reverse mortgage loan, as defined in the Tennessee Reverse Mortgage Innovation Act, compiled in title 47, chapter 30;

SECTION 20. Tennessee Code Annotated, Section 67-4-409(b)(2), is amended by deleting "Home Equity Conversion Mortgage Act, as compiled in title 47, chapter 30" and substituting "Tennessee Reverse Mortgage Innovation Act, compiled in title 47, chapter 30".

SECTION 21. The Tennessee Code Commission is requested to revise the heading for Tennessee Code Annotated, Title 47, Chapter 30, to more accurately reflect the changes made in this act.

SECTION 22. This act takes effect upon becoming law, the public welfare requiring it.